Finance, Firms and Jobs in Ghana

Policy note · Evans K. Owusu, PhD · October 2026 · Based on the World Bank Enterprise Survey, Ghana 2023 (713 formal firms)

Summary. Access to finance is the top obstacle for Ghana's formal private firms. But the constraint sits *before* the loan application, not at it. About half of firms need credit, yet only 14% apply, and 90% of applicants are approved. Among firms that need credit but stay away, the main reason is the **cost of credit, not collateral**. SME lending operations should target the price of credit and reach small firms, and build causal evidence on credit and jobs.

39%
name access to finance as their biggest obstacle (next: tax rates, 25%)

72%
of firms that need credit never apply: they are discouraged borrowers

64%
of discouraged firms cite interest rates; only 8% cite collateral

18% vs 41%
of small vs large firms hold a loan or credit line

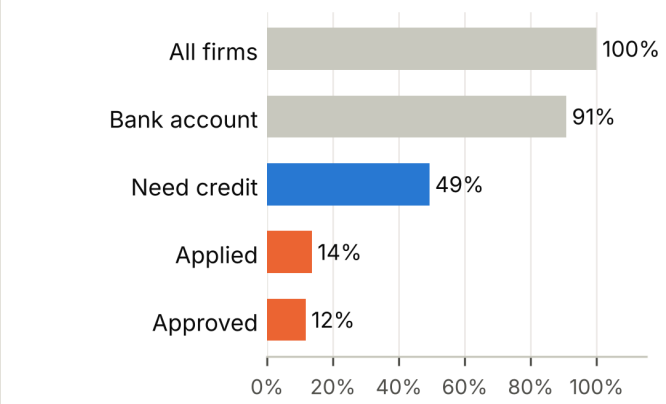
1. Finance is the top constraint, and firms drop out before applying

Access to finance is the single biggest obstacle for 39% of firms (95% CI 34–45%), ahead of tax rates (25%) and electricity (7%). Electricity ranks low despite outages at 74% of firms, because 68% run or share a generator. Nine in ten firms have a bank account and 49% need external credit, but only 14% applied in the past year. Rejection is rare: 90% of applicants were approved in full or in part. The credit market is therefore constrained by **discouragement**, not rejection, so reforms aimed only at approval will reach few firms.

2. The cost of credit, not collateral, keeps firms away

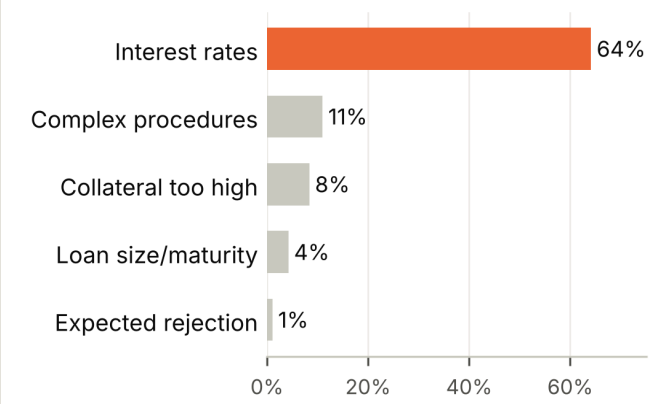
Among discouraged borrowers, 64% say interest rates were unfavourable (95% CI 55–74%). Complex procedures follow at 11%. Collateral, the usual focus of credit guarantee schemes, is cited by only 8%. This fits the macro picture during fieldwork: Ghana's average bank lending rate was about 31–36% in the first half of 2023, and the policy rate was 29.5% in May 2023 (Bank of Ghana data, via NBC).

Most firms that need credit never apply



Weighted share of all firms at each stage.

Interest rates dominate the reasons for not applying



Main reason, among firms that need credit but did not apply.

3. Small firms are excluded; gender and age gaps are small

Only 18% of small firms (5–19 employees) hold a loan or credit line, against 41% of large firms. In a survey-weighted logit controlling for sector, region and firm characteristics, large firms have 3.6 times the odds of holding credit (95% CI 1.3–9.7). Women-managed firms are about as likely to hold credit as men-managed firms (20% vs 22%). Young firms (0–5 years) hold credit less often (16% vs 24%), but the intervals overlap. The bigger gender gap is in representation: only 20% of firms have a female top manager.

4. The link from credit to jobs is not yet proven

Firms with credit grew employment by 12.0% a year over three years, against 8.8% for firms without. After controls for baseline size, sector, region, firm age, export status and manager gender, the gap is +1.7 percentage points (95% CI −2.9 to +6.3). This is not statistically significant. A cross-section also cannot separate the effect of credit from stronger firms selecting into borrowing.

Implications for operations

1. **Make SME credit cheaper, and aim it at small firms.** Collateral is rarely the binding constraint, so collateral-focused guarantees alone will reach few firms. Lines of credit or refinancing facilities through partner banks, priced and passed through to small borrowers, address the reported barrier more directly. Lasting relief depends on macroeconomic stabilisation bringing lending rates down.
2. **Lower the cost of applying.** Complex procedures are the second reason firms stay away. Simplified products and cash-flow-based lending can help. So can digital records: mobile money is the main channel for about half of firms that receive electronic payments.
3. **Track discouragement, not just approvals.** A 90% approval rate looks healthy while 72% of firms that need credit never apply. Results frameworks should monitor the share of firms that need credit but do not apply.
4. **Build causal evidence on credit and jobs.** A phased or randomised rollout of an SME credit line, with employment follow-ups, would show whether cheaper credit creates jobs.

Next steps for analysis

Benchmark these results against the Nigeria and CEMAC Enterprise Surveys. Track change since the Ghana 2013 survey. Link exporters to trade data.

Data, methods and caveats

- **Data:** World Bank Enterprise Survey, Ghana 2023: 713 formal private establishments with five or more employees in manufacturing, retail and services.
- **Estimation:** all figures use survey weights (*wmedian*) with design-based standard errors for the stratified sample. Models are survey-weighted logit (credit access) and OLS (employment growth). Analysis in Python, replicated in R.
- **Definitions:** a firm *needs credit* if it applied, or did not apply for any reason other than "no need". It is *discouraged* if it needs credit but did not apply. Firm size is small (5–19 employees), medium (20–99) or large (100+). Employment growth is the annualised mid-point rate over three years.
- **Caveats:** formal firms only, so informal micro-enterprises, where many young and women entrepreneurs work, are not represented. Fieldwork coincided with high inflation and interest rates, so the cost-of-credit finding may be partly cyclical. All relationships are associations, not causal effects.

Code, notebook and full results: github.com/EvanOwusu/ghana-firms-finance-jobs
Sources: World Bank Enterprise Surveys, Ghana 2023 microdata (enterprisesurveys.org); NBC, "Average lending rate fall by 4.3% in six months to 31.5% in June 2023", 25 July 2023, citing Bank of Ghana data (nbc.edu.gh).